

AI and Entry-Level Hiring

What Does the Evidence Support?

Purpose. Decide what the current evidence tells us about AI and entry-level jobs. Then advise a company on its graduate hiring.

Instructions. Work with your team. Use the readings and the evidence below. Do not use an LLM or outside sources.

You have **15 minutes**. Choose one person to **summarize your discussion orally for 90 seconds**.

The Evidence Chain

Exposure → Adoption → Changes in Work → Hiring → Employment

Evidence at one step does not prove what happens at the next step.

How Strong Is the Evidence?

Which is the strongest claim supported by the evidence?

1. Many entry-level jobs are exposed to AI.
2. Firms are using AI and changing entry-level work.
3. AI is reducing demand for entry-level workers.
4. AI caused the recent decline in entry-level employment.

Explain why the evidence supports your choice but not the next claim.

Evidence from the Assigned Readings

ILO Exposure Index

The ILO studies which tasks generative AI could affect. It estimates that about one quarter of global employment has some exposure to AI.

Canaries in the Coal Mine

Stanford researchers study payroll records for millions of US workers. Employment grew more slowly for workers ages 22 to 25 in highly exposed occupations. The decline was strongest in jobs where AI may automate tasks.

EIG Critique

EIG finds that job postings in highly exposed occupations began falling before ChatGPT was released. Junior and senior job postings also followed similar patterns. Other causes may include higher interest rates and weak technology hiring.

Stanford Reply

The Stanford authors argue that interest-rate exposure and AI exposure are different. Their results remain when they compare workers within the same firms. However, the decline for young workers becomes statistically significant only in 2024.

Evidence from Denmark

Researchers find widespread chatbot use and changes in work tasks. After two years, they find no clear effects on earnings or working hours larger than 2%.

The Company Decision

A professional-services company hires several hundred university graduates each year. Its leaders think AI will soon perform much of the research, writing, and analysis now done by junior employees.

They are considering hiring **20% fewer graduates next year**. Other managers worry that this could create a shortage of experienced employees in the future.

Choose One

Recommend one option:

1. **Reduce hiring by 20%.** The evidence is strong enough to act now.
2. **Keep hiring unchanged.** The evidence is too weak to justify a large change.
3. **Run a limited pilot.** Reduce hiring in a few teams and study what happens.

Discuss

Prepare answers to these questions:

1. What is the strongest claim supported by the evidence?
2. Which two studies best support your answer?
3. What important evidence is still missing?
4. What should the company do?
5. What assumption matters most to your decision?

Be ready to explain why you rejected the other two options.